



Qualification Programme Examination Panelists' Report

Module C – Business Assurance (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case was related to a growing ophthalmic service provider. Many operational facts and financial data were presented in the case background. Candidates were tested in a wide range of topics including risk assessment and audit procedures on trade receivables, provision for claims and litigation and asset impairment, materiality determination, uncorrected misstatements, and corporate governance. The case questions resembled many audit areas in real life cases. Candidates were required to identify the issues in the case with thoughtful analysis and to apply judgement with appropriate business acumen in order to attain high marks.

Specific Comments

Question 1(a) – 9 marks

This question required candidates to use the facts provided in the case to evaluate the risk of material misstatements by each relevant assertion in relation to trade receivables.

The performance of the candidates in this question was satisfactory. However, some candidates did not read the question requirements carefully and failed to evaluate the risk of material misstatements by each assertion. Some candidates failed to provide relevant explanations to support their evaluations.

Question 1(b) – 8 marks

This question required candidates to propose relevant audit procedures in addressing the risk of material misstatements identified in Question 1(a).

The performance of the candidates in this question was satisfactory. However, some candidates only focused on audit procedures related to testing the IT general controls of the accounting system but did not suggest broader audit procedures on the sales and receivable cycle. Only a few candidates suggested audit procedures on assessing the expected credit losses.



Question 2 – 8 marks

This question required candidates to identify the risk of material misstatements to the financial statements in relation to the negative news provided in the case and to propose relevant audit procedures in addressing the risk.

Many candidates performed well in this question and were able to identify the relevant financial statements risk relating to provision for claims and litigation and to suggest relevant audit procedures.

Question 3(a) – 2 marks

This question required candidates to explain whether the overall materiality and de minimis level set for the 2019 audit are reasonable.

This question required practical judgement. Half of the candidates performed well in this question and were able to explain their thought on materiality determination with a reasonable analysis.

Question 3(b) – 6 marks

The question required candidates to consider whether Insight Medical Limited (“Insight”) must adjust the HK\$200,000 misstatement to the financial statements and propose relevant audit procedures that Lee & Co should consider in auditing such a misstatement.

This question portrayed a very common scenario in day-to-day audits. Candidates did not perform well in this question. Many candidates were able to point out that the misstatement was below the overall materiality but above the de minimis level. However, candidates failed to suggest relevant follow-up audit procedures.

Question 4(a) – 2 marks

This question required candidates to evaluate the risk of material misstatements in relation to property, plant, and equipment (including right-of-use assets) in terms of valuation assertion by reference to the performance of an individual clinic.

Many candidates did not perform well in this question. Many candidates did not read the question requirements carefully and failed to evaluate and explain the risk of material misstatements at the individual clinic level. Candidates also seemed to not have been familiar with the concept of cash generating unit.

Question 4(b) – 6 marks

This question required candidates to propose relevant audit procedures in response to the risk of material misstatement identified in Question 4(a).



The performance of the candidates in this question was not satisfactory. Many candidates failed to suggest relevant audit procedures relating to asset impairment of the loss-making clinic.

Question 5 – 9 marks

This question required candidates to identify, with detailed explanation, three areas for strengthening Insight's management team and treasury management that could improve Insight's corporate governance and to advise on relevant improvement actions.

The performance of the candidates in this question was not satisfactory. Many candidates simply suggested general improvement actions but failed to point to the main issues related to the experience of the board of directors and management as well as the loan arrangement with the director's relative.

(II) Section B – Essay/Short Questions

General Comments

This section tested the candidates on their knowledge related to going concern, ethical requirements, information system internal controls, and use of management experts and internal experts.

The questions required candidates to apply the relevant standards to assess audit risk under practical situations and to propose audit procedures. The overall results were satisfactory.

Specific Comments

Question 6(a) – 8 marks

This question required candidates to deal with a practical situation where the company has faced going concern issue and management measures have been proposed. Though this is not a common situation, candidates were able to evaluate the facts described in the question and to apply their knowledge to respond to these specific circumstances by effectively enquiring management with sensible questions.

Question 6(b) – 7 marks

This question required the candidates to propose audit procedures based on the management plan and to evaluate the management's use of going concern basis for preparing the financial statements. This is a continuation of part (a). Candidates in general were able to propose effective audit procedures.



Question 7(a) – 5 marks

This question required candidates to evaluate the independence threats when an audit firm is approached to provide non-audit services to its audit client and to identify effective safeguards to mitigate these threats. In this case, the non-audit service was related to the advisory work of an inventory information technology system. Candidates in general were able to explain and analyse the threats; however, some misunderstood that the audit firm will assume management responsibility and therefore were not able to propose safeguards.

Question 7(b) – 5 marks

This question required candidates to evaluate the independence threats when the audit firm has offered a gift to the audit team members. The majority of the candidates were able to respond to this question well due to the specific situation having been discussed in the learning materials.

Question 7(c) – 5 marks

This question required candidates to evaluate the independence threats when the audit firm is approached to provide internal audit services to its audit client and to identify effective safeguards to mitigate these threats. The majority of the candidates were able to respond to this question well due to the specific situation having been discussed in the learning materials.

Question 8(a) – 8 marks

The question required candidates to propose an audit approach to test the effectiveness of the IT systems, which are fully automated and integrated among the significant processes, and the financial reporting system. Similar to previous years, candidates did not perform well on the IT-related area. Some candidates did not appear to understand what should be in the audit approach.

Question 8(b) – 2 marks

This question required candidates to suggest changes in the audit approach after a system breakdown happened in the middle of the year. As this part contained 2 marks only, candidates in general were able to obtain marks for this part.

Question 9(a) – 5 marks

This question required candidates to evaluate a situation where management has engaged an external expert to take part in the valuation of a pension plan. Most of the candidates were able to demonstrate valid analysis.



Question 9(b) – 5 marks

This question provided a slight twist to part (a), with the management in this question using its own valuation team to take part in the valuation of the pension plan. Candidates did not perform well on this part and were not able to distinguish between an external expert and a management self-valuation. Some candidates included irrelevant content in their answers related to the auditor's internal expert.

(III) Conclusion and Recommendation

It is noted that candidates have improved their technical skills by providing specific and effective answers when addressing practical situations. However, the IT part of their answers is still one of the weakest areas; therefore, it is suggested that candidates should have more practice on IT areas.